

this data is not shared with Sebi (markets regulator the Securities and Exchange Board of India) or Irdai (Insurance Regulatory and Development Authority of India, the insurance regulator). The most urgent requirement is inter-regulator coordination,” says Prem.

The market needs curated micro-insurance products. “We are in the process of launching an innovative insurance savings product that suits our customers through one of our insurance partners. We will probably be the first to provide such an offering. The insurance partner is working to source Irdai approval. In the next 10 years, we can expect to see a significant change in insurance absorption amongst our customer,” says Narayanan of CreditAccess Grameen. In fact, the absence of such products has opened the door for riskier chit funds.

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170 MILLION

NO. OF HOUSEHOLDS THAT ARE BELIEVED TO BE THE ADDRESSABLE MARKET FOR NBFC-MFIs, OF WHICH 120 MILLION ARE IN RURAL AREAS

MOVING AWAY FROM THE MANDATE

RBI's decision to issue licences in the SFB and payments bank categories has also not yielded the desired results. Payments banks were non-starters, and SFBs have ambitions to diversify into non-micro segments to protect depositors from portfolio concentration in unsecured portfolios. SFBs are becoming increasingly similar to private sector banks in their focus on urban areas and middle-class customers, say experts.

“They are becoming similar to private sector banks. They are becoming more urban. They are slowly abandoning their rural, low-income franchise. Over time, I see them chasing middle-class urban customers,” says a

market player who preferred to stay anonymous.

SFBs argue that they need to diversify, but they are simply not as competitive as they once were. For example, some SFBs are offering higher deposit rates than full-scale banks. This increases the cost of funds.

“But just having a liability set-up in urban and metro areas will not work. So, SFBs will end up doing large-ticket loans. They have no option but to accept business that will come their way in urban areas and metros. The share of microfinance is coming down,” says a banker. In addition, SFBs are subject to the same compliance requirements as private banks.

At the same time, the regulatory advantages of operating as an NBFC are diminishing, prompting them to seek conversion into SFBs. Large NBFCs aspire to become banks as funding becomes a big issue. And SFBs, in turn, are aspiring to become universal banks like HDFC Bank or ICICI Bank.

After the small bank debacle in the US, where start-up-focussed banks faced asset-liability mismatches, RBI is also very cautious about the Indian SFB space. Some banks are slowly testing the microfinance market by acquiring MFIs, and there are fresh faces in the game. Experts suggest there is going to be more activity here.

But malpractices abound in this space. RBI Governor Shaktikanta Das recently sounded the alarm when he said that certain NBFC-MFIs had relatively high net interest margins. “The interest rates are linked to the cost of operations. The sources of funding are also limited. There is also an obligation towards shareholders,” says one player.

Besides, the sector has a reputation for accidents and defaults. RBI's recent decision to increase risk weights on unsecured loans has already caused a ripple. Fintech players masquerading as micro-loan providers in the sub-₹50,000 category via apps are already running scared. A banker jokes that fintech is a solution for the difficult terrains of India, where mobile has at least reached. Perhaps the BCs won't have to face tribes brandishing knives. But that's not an immediate possibility because of the low smartphone penetration. In fact, fintech firms are also on RBI's radar for playing regulatory arbitrage. They are actually operating in the microfinance domain without following the standard operating procedures.

For all the stakeholders in the space, it is essential that RBI and the government act fast to recapture some of that enthusiasm that boosted financial inclusion a decade ago. Till then, total financial inclusion will remain a dream. **BT**

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